

Outlook

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The model may be learning from events that happen after prediction

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

Could the answer be that monthly snapshots duplicate later knowledge? Or are we actually seeing that status or collections fields leak future outcomes? I also do not want us to miss the possibility that performance is stable after strict time-based validation.

We looked at a version of this before. For the August 2020 review, please show what changed and whether the earlier conclusion still holds. The practical decision is whether the model can enter validation or must return to feature engineering. Please send a control view with the exceptions, owner and reason each item was included; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Regards